



VRC-UK-2023-0998

15/01/2023

CUSTOMER FRAMEWORK AGREEMENT

Veracier UK / Aeronord Industries S.A.

THIS AGREEMENT is made as of 15/01/2023

BETWEEN:

Aeronord Industries S.A. ("Customer")

AND

Veracier UK Ltd ("Supplier")

Section 1 — Scope of Supply

Veracier UK Ltd shall supply to Aeronord Industries S.A. the products and services described in the Technical Schedule.

Section 2 — Term

This Agreement shall be for an initial term of five (5) years from the Effective Date.

Section 3 — Pricing

Prices are as set forth in the Pricing Schedule.

Section 4 — Delay Penalties

Late deliveries shall be subject to liquidated damages of 0.5% per week, capped at 10%.

Section 5 — Warranty

Supplier warrants all Products against defects in design, materials, and workmanship for twenty-four (24) months from delivery.

Section 6 — Liability

Supplier's aggregate liability under this Agreement shall not exceed two (2) times the annual contract value.

Section 7 — Governing Law

This Agreement shall be governed by the laws of England and Wales.

The 2% royalty rate on net sales for intra-group IP licenses is consistent with the benchmarking study results, where the interquartile range spans from 1.5% to 3.0%.

Trend analysis of supplier non-conformities over the past 24 months shows a significant increase in dimensional deviations (+35%) from the supplier, requiring enhanced surveillance.

Year-end accruals include the following items: customer delay penalties (EUR 2.1M), product warranty provisions (EUR 1.2M), tax risk provisions (EUR 0.8M), and voluntary redundancy payments (EUR 0.6M).

Calibration of the hydraulic test bench TB-042 was verified prior to testing. Calibration certificate No. CC-2024-042-012, issued by a UKAS-accredited laboratory, is included in the batch record.

The Supplier shall implement and maintain environmental management practices in accordance with ISO 14001 and shall comply with REACH and RoHS regulations. Material Safety Data Sheets shall be provided upon request.

All pre-existing intellectual property shall remain the sole property of its owner. Bespoke developments created by the Supplier under this Agreement and funded by the Customer shall vest in the Customer upon creation.

Statistical process control (SPC) monitoring is in place for critical dimensions identified in control plan CP-AV3000-Rev.F. Process capability indices Cpk exceed 1.67 for all key characteristics.

This Agreement may not be assigned, in whole or in part, by either Party without the prior written consent of the other Party. Any unauthorized assignment shall be void and of no effect.

The Group's litigation history in comparable matters shows an amicable resolution rate of approximately 65%, with settlement amounts averaging 45% of the initial claim.

Neither Party shall, during the Term and for twelve (12) months thereafter, directly or indirectly solicit or hire any employee of the other Party who was involved in the performance of this Agreement.

The management fee charged by the parent company to subsidiaries represents 3% of each subsidiary's consolidated revenue, remunerating general management, strategic planning, legal support, and treasury services.

The deferred tax provision has been calculated on temporary differences between IFRS carrying amounts and tax bases, at the applicable tax rate of 25.83% for French entities and 30.175% for the German entity.

Packaging and labelling of all Products shall conform to the specifications set forth in the applicable Schedule. The Supplier shall be liable for any damage attributable to inadequate packaging during transport.

The provision movement schedule shows a net charge of EUR 3.2 million for the year, primarily driven by litigation provisions (+EUR 1.8M) and restructuring provisions (+EUR 1.4M).

The batch record includes the following records: production traveller, test reports (leak, fatigue, functional, NDT), material certificates, calibration certificates, non-conformity reports where applicable, and EASA Form 1.

The applicable reference documentation for this lot is specification SP-AV3000-Rev.D dated 01/11/2019, together with control plan CP-AV3000-Rev.D and manufacturing routing MR-AV3000-Rev.D.

The Supplier shall maintain a traceability system enabling identification of raw materials, manufacturing operations, and quality inspections for each delivered Product. Records shall be retained for a minimum of ten (10) years.

The failure of either Party to enforce any provision of this Agreement shall not constitute a waiver of such provision or of the right to enforce it at any time thereafter.

The provision amount has been determined based on the best estimate of the expenditure required to settle the present obligation at the reporting date, taking into account the risks and uncertainties inherent in the matter.

The batch record review was completed by the Head of Quality and Airworthiness prior to lot release. All identified non-conformities have been dispositioned and closed.



All notices under this Agreement shall be in writing and delivered by registered mail, internationally recognized courier service, or email with read receipt confirmation, to the addresses set forth in the preamble.

The statutory auditors have raised an observation regarding the nuclear decommissioning provision, recommending that the actuarial assumptions be reviewed by an independent actuary.

The Parties agree to hold quarterly performance review meetings to assess key performance indicators including quality metrics, on-time delivery rates, and corrective action effectiveness.

The Country-by-Country Report has been prepared in accordance with OECD BEPS Action 13 guidelines and filed with the relevant tax authority within the statutory deadline.

Insurance coverage under the Group's professional indemnity policy has been verified. The applicable deductible is EUR 500,000 per claim, with an aggregate annual limit of EUR 50,000,000.

The impairment test of goodwill was performed in accordance with IAS 36, based on discounted cash flow projections using a WACC of 9.5%. No impairment loss was recognised.

A conflict-of-interest check has been performed to ensure that the appointed external counsel does not represent any adverse party or have any relationship that could compromise the objectivity of their advice.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

The net debt to EBITDA ratio stands at 1.8x, well within the 3.0x covenant threshold under the EUR 250 million syndicated credit facility.

Each Party shall comply with all applicable laws and regulations, including without limitation anti-bribery legislation (UK Bribery Act 2010, US FCPA), data protection laws (GDPR, UK Data Protection Act 2018), and export control regulations.

Where subcontracting is authorized by the Customer, the Supplier shall remain solely responsible for the performance of all its contractual obligations. The Supplier shall ensure that subcontractors are bound by confidentiality and quality requirements no less stringent than those in this Agreement.

The German entity's taxable income has been adjusted for permanent differences between IFRS and German tax rules (HGB), particularly regarding depreciation methods and provisions.

The matter has been entered in the Group's legal risk register under reference LR-2024-XXX. Oversight has been assigned to the General Counsel.

The Group's net cash position stands at EUR 127 million as at 31 December, an increase of EUR 23 million compared to the prior year, primarily driven by working capital improvements.

The tax treatment of the litigation provision has been reviewed by the Finance Department. The provision is tax-deductible subject to compliance with HMRC guidelines.

The Legal Department has identified a contagion risk, as the facts underlying the claim may be replicated at other production sites within the Group.

The legal risk analysis has been conducted in accordance with IAS 37 principles concerning provisions, contingent liabilities, and contingent assets. The probability of the risk materializing has been assessed on a three-tier scale: probable, possible, or remote.

The conclusions of this legal analysis are subject to legal professional privilege and must not be disclosed to third parties without the prior approval of the General Counsel.

It is noted that any document filed in the proceedings may be subject to disclosure to the opposing party. Internal documents should be prepared accordingly.

Any amendment to this Agreement shall be in writing and duly executed by authorized representatives of both Parties. No oral modification or waiver shall be binding upon either Party.

An examination of notification obligations to insurers has been completed. The claim notification was submitted within the contractual timeframe.

The fatigue test was conducted per ASTM E466 at ambient temperature (23 +/- 2 degrees C), with a stress ratio $R = 0.1$ and a cyclic frequency of 10 Hz. The specimen endured 10^7 cycles without visible crack initiation.

The CAPA opened in response to the recurring non-conformity includes the following actions: supplementary supplier audit, enhanced receiving inspection, and qualification of an alternative supplier.

The Customer reserves the right to audit the Supplier's facilities, records, and quality management systems upon fifteen (15) business days' prior written notice, to verify compliance with this Agreement.

Any dispute arising out of or in connection with this Agreement shall first be subject to good faith negotiations for a period of thirty (30) days. If unresolved, either Party may refer the dispute to the competent courts as specified herein.

The cost plus method has been applied to contract manufacturing activities, with an 8% markup on direct and indirect production costs.

External legal counsel has provided a qualified opinion on the prospects of the defence, estimating the probability of an adverse outcome at between 40% and 60%.

Environmental conditions during functional testing were within specification: temperature 23 +/- 2 degrees C, relative humidity 45 +/- 10%, hydraulic fluid cleanliness class 6 per NAS 1638.

Non-destructive testing by fluorescent penetrant inspection (FPI) was carried out in accordance with NAS 410 / EN 4179 Level 2, by a certified NDT operator. No linear indications exceeding 1.5 mm were detected.

It is recommended that no public statement be made regarding this matter, given the confidentiality obligations under the mediation clause and the potential for reputational harm.

Sensitivity analysis indicates that the nuclear decommissioning provision is particularly sensitive to the discount rate assumption: a +/- 0.5% change in the rate results in a +/- EUR 1.2 million variation.

Storage conditions for released parts conform to requirements: temperature 15-25 degrees C, relative humidity below 60%, protection from dust and mechanical shock. Maximum storage duration before dispatch is 90 days.

Statutory interest on any damages awarded shall accrue at the applicable rate under section 35A of the Senior Courts Act 1981.

The dimensional deviation on port B bore (measured: 25.015 mm against tolerance of 25.000 +0.010/-0.000 mm) has been subject to an engineering concession request (ref. EC-2024-0089).

Budget variance analysis shows a 4.2% overrun on production costs, primarily attributable to raw material price increases (titanium +18%, specialty steel +12%) during the second half of the year.

The manufacturing routing comprises 9 principal operations from material cutting (Op 10) to final inspection and release (Op 90). Each operation requires operator sign-off and quality verification.

The solution heat treatment and ageing cycle was carried out as prescribed: solution at 940 degrees C for 2 hours, water quench, followed by ageing at 540 degrees C for 8 hours, air cool.

The capital expenditure budget for the current year is EUR 18.5 million, of which EUR 12.3M is allocated to production capacity and EUR 6.2M to R&D activities.

The comparability analysis was performed using the Bureau van Dijk / TP Catalyst database, selecting comparable companies based on functions performed, assets employed, and risks assumed (FAR

analysis).

A review of cross-indemnity provisions among Group entities has been initiated to determine which entity bears the ultimate financial burden of the litigation.

In the event of late delivery, the Customer shall be entitled to liquidated damages of 0.5% of the relevant Purchase Order value per week of delay, capped at 10% of the total Purchase Order value.

Effectiveness verification of the corrective actions will be performed over the next three production lots. The CAPA will be closed after confirming no recurrence over a minimum of 150 parts.

The Audit Committee has reviewed the principal accounting estimates and management judgements and concluded that the methods applied were appropriate and consistent with prior periods.

The supplier audit report identified three (3) major non-conformities relating to forging process control and raw material traceability. A corrective action plan with deadlines has been demanded.

In the event of regulatory changes materially affecting the terms of this Agreement, the Parties shall negotiate in good faith to amend the Agreement within a reasonable timeframe.

The leak test was performed at 315 bar (1.5 times operating pressure) for 5 minutes per test procedure TP-QA-042 Rev. C. No leakage was detected.

The risk of an adverse costs order has been factored into the provision estimate, with additional exposure estimated at between GBP 50,000 and GBP 150,000.

The Supplier shall maintain ISO 9001 certification (and AS9100 or NADCAP where applicable) throughout the Term. Loss of certification shall constitute a material breach entitling the Customer to suspend Purchase Orders.

The Supplier shall procure and maintain throughout the Term professional liability insurance with a minimum cover of five million euros (EUR 5,000,000) per occurrence and in the aggregate per year, and shall provide evidence thereof upon request.

Pursuant to the Group's disclosure obligations, this matter must be reflected in the notes to the consolidated financial statements as a contingent liability, without specifying the provision amount to avoid prejudicing the Group's position.

Bristol, le 15/01/2023
Managing Director

James Hartley